

Apple's (in)expensive distraction?

So Apple went and did it. They killed the 'SE' brand, gave us a so-called budget iPhone named iPhone 16e, and stuck a ₹59,900 price tag on it – yeah you read that right. In an era where all eyes are on fancy foldables, AR glasses, and AI everything, Apple decides to revisit the old make-iPhone-cheaper-but-not-too-cheap playbook. At stake is the multi-billion dollar question of whether the iPhone 16e is a sweet spot for price-conscious smartphone consumers, or is it stuck in no-man's land – expensive for a budget phone, severely compromised compared to Apple's flagship?

When Apple launched the iPhone SE as a beacon of affordability, a ₹39,000 device with older internals but a small, beloved form factor, it gained a cult following for those desiring an affordable, vintage version of iPhone. But it never lit up Apple's global sales chart. In fact, data suggests the iPhone SE line accounted for just 1-5% of overall iPhone sales recently. With this context in mind, it makes sense for Apple to try something different.

So this year, Apple unveils the iPhone 16e, basically scrapping the 'SE' name and saying, trying to tweak the formula with a bigger screen and fresher hardware. But still priced ₹16-17k more than the last SE from 2022. No wonder folks on social media started trolling the iPhone 16e, calling the 'e' in iPhone 16 'error' and 'expensive' – far from 'economical'. It definitely makes you wonder what Apple was thinking, right? The answer may lie in the past. Two years after the original iPhone SE was launched in 2016, Apple rolled out the iPhone XR in 2018 as a more "affordable" device that actually sold brilliantly, bridging the gap perfectly between the super-cheap iPhone 8 and the premium iPhone XS at the time. Apple banked on a nice design, large display, decent camera, and a simpler approach to reeling in cost. The result? iPhone XR sales soared, according to Counterpoint Research. At a time when iPhone sales were down 20% on a yearly basis in the month of November 2018, the iPhone XR emerged as the best-selling model, according to reports.



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Jayesh Shinde
Executive Editor



Let me know your thoughts on this column at:
jayesh.shinde@digit.in | @jshinde

As far as Apple's concerned, it hopes the iPhone 16e is a spiritual successor to the iPhone XR, in terms of overall winning formula. With the iPhone 16e, Apple's definitely closing the chapter on smaller screen iPhones. In India, they're betting that enough people who want to flaunt a new iPhone will pay ₹50-55k (with credit card and exchange discounts) instead of rummaging e-commerce deals for a two-year-old model. The iPhone 16e is Apple's attempt to plug the gap between the old sub-₹50k bracket iPhones and the high-end territory above ₹75k of latest-gen iPhones. Of course, one big difference from the SE line is that the iPhone 16e packs Apple's AI features. With Apple Intelligence (like advanced voice recognition, on-device Siri improvements, better text prediction, etc.), the 16e shares the same chip architecture as the iPhone 16. If you're someone who wants Apple's best new AI smarts at a cheaper price, the iPhone 16e might look appealing.

This could be a critical factor going forward, especially since Apple Intelligence is still rolling out and far from fruition. Apple knows that modern hardware is key for Apple Intelligence to compete against Gemini on Android, Google's generative AI, to Samsung's own AI-driven features. Apple doesn't want people to be stuck on an old A13 or A14 chip if it can help it. So, from a purely strategic view, the iPhone 16e is Apple's attempt to ensure the user base for Apple Intelligence grows wider fast. Still, the criticisms aren't misplaced. The iPhone 15 is currently very closely priced to the iPhone 16e. If you stretch your budget a bit, you can get a phone that's presumably more advanced in some features or has an extra camera lens. Could the iPhone 16e outpace the previous SE, dethroning it as the best "budget" iPhone we've had? Possibly. Or it might flop if the Indian market perceives ₹59,900 as too steep. As much as Apple banks on brand loyalty, let's not forget entire segments of buyers in India are more loyal to their wallets than any one smartphone brand. And for the price of an Apple logo, they're still quite perfectly happy rocking an older iPhone snagged in an online deal. **d**